Effective Targeting Mechanisms for Emergency Cash Transfers in Pakistan

Client

International Growth Centre – Pakistan

Research Team

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Preface

The Government of Pakistan (GoP) uses various targeting mechanisms to identify beneficiaries for emergency cash transfer programs. However, each mechanism presents a unique set of challenges related to inclusion and exclusion errors, administrative barriers, and political considerations. This project, titled *Targeting Mechanisms for Effective Emergency Cash Transfers in Pakistan*, analyses the utility of targeting mechanisms in identifying beneficiaries affected by emergencies to help the GoP develop a shock-adaptive social protection system.

The project report has been developed by a team of six Master in Public Policy (MPP) candidates at the Lee Kuan Yew School of Public Policy (LKYSPP) as part of the *Policy Analysis Exercise* (PAE) curriculum. The team includes: Mr. Abdul Wasiq Wasif, Ms. Apurva Sankar, Mr. Muhammad Saad, Mr. Nishant Khanal, Ms. Sivapriya Anbarasu, and Mr. Utkarsh Narain. The work benefits from the overall guidance of Professor Saravana Ravindran as the faculty advisor. The team is also grateful to Professor Alfred Wu, Professor Gambhir Bhatta, Professor Sreeja Nair, and Professor Vinod Thomas for their advice on various aspects of the research.

The team has collaborated with the International Growth Centre - Pakistan (IGC) as its external client. The project aims to not only help IGC supplement GoP's policy capacity on social protection, but also add a background knowledge product as part of the organisation's existing portfolio on social protection policy. The team is grateful to Ms. Hina Shaikh and Ms. Amna Mahmood for their constant support and guidance throughout the project.

Disclaimer

1. Every effort is made to ensure the accuracy and completeness of information contained in the report and any errors or omissions are purely coincidental. The report has been solely furnished as per the Terms of Reference entered into by and between International Growth Centre (IGC) Pakistan and the research team of Lee Kuan Yew School of Public Policy students. Unless through explicit consent of the research team, the publication is not for public distribution.
2. The duration of the project overlapped with a change in the federal government in Pakistan in April 2022, with Mr. Shahbaz Sharif replacing Mr. Imran Khan as the Prime Minister. The new government is yet to present a comprehensive policy position on social protection by the time of this report's compilation. It is likely that Sharif-led government may decommission previous social policy initiatives such as the *Ehsaas* programme. Therefore, the policy context in which the report was developed is fluid, where some of its sections may not be applicable to new social protection initiatives announced.

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List of Abbreviations

BCH	Bono Contra el Hambre Programme
BISP	Benazir Income Support Program
CBT	Community-based Targeting
CNIC	Computerised National Identity Card
CT	Categorical Targeting
ECTP	Emergency Cash Transfer Program
EEC	Ehsaas Emergency Cash
GoP	Government of Pakistan
GT	Geographical Targeting
HSN	Hunger and Safety Net
IGC	International Growth Centre
LKYSPP	Lee Kuan Yew School of Public Policy
ICRC	International Committee of the Red Cross
IFE	Ingreso Familiar de Emergencia Programme
ILO	International Labor Organization
IS	Ingreso Solidario
M&E	Monitoring and Evaluation
MIS	Management Information System
MPP	Master in Public Policy
NADRA	National Database and Registry Authority
NDMA	National Disaster Management Authority
NGOs	Non-Governmental Organizations
NSER	National Socio-economic Registry

NUS	National University of Singapore
PAE	Policy Analysis Exercise
PMD	Pakistan Meteorological Department
PMT	Proxy-means Testing
RoC	Republic of Congo
RSPN	Rural Support Programs Network
SIKS-NG	Social Welfare Information System-next Generation
ST	Self-targeting
UNICEF	United Nations Children's Fund

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Executive Summary

Pakistan is a disaster-prone country, vulnerable to both natural and manmade disasters (CFE-DM, 2021). There is a significant overlap between high disaster risk and high poverty incidence in the country, which makes the case for a shock-responsive social protection system (Naveed & Khan 2018). The project diagnoses three-weaknesses in Pakistan's social protection system that limit its shock-responsiveness capability: first, lack of clarity on shock-responsive social protection principles; second, institutional lock-in around particular targeting mechanisms for cash transfers; and third, reliance on a static poverty registry for beneficiary targeting. The project attempts to fill these gaps by developing three relevant outputs.

First, the project outlines foundational principles in terms of vision, mission, and objectives of a shock-responsive social protection system to address the current lack of clarity on them. Based on the current vision of reducing inequality, the mission should be re-characterised to preventing loss of life, alleviating daily stresses and immediate economic impact, and minimising prospects of long-term economic loss in the aftermath of an emergency. Disbursing aid quickly, minimizing exclusion of deserving beneficiaries, overcoming administrative barriers in beneficiary identification, and reducing private and social costs are identified as high priority objectives for emergency cash transfers.

Second, the project recommends a decision making toolkit to guide the choice of targeting mechanisms by GoP. The toolkit goes through five decision nodes, eliminating the unsuitable mechanisms at each step. The questions sequentially determine the geographic spread of the disaster (limited/widespread), the immediate/gradual onset, and the urban/rural nature of geography, high/low poverty incidence, and high/low social cohesion to come up with suitable mechanisms for 32 different scenarios that are relevant to Pakistan's disaster-risk profile.

Lastly, the project proposes two system-wide recommendations. Firstly, to transition from a static registry through dynamic inclusion and exclusion of beneficiaries. Dynamic inclusion entails increasing avenues for self-enrolment through active enrolment drives leveraging local NGOs while dynamic exclusion requires increasing coverage and integration with other databases of the CNIC database. Secondly, integrating monitoring and formative evaluation for emergency cash transfers in SOPs. Monitoring entails collection of simple metrics, building agile feedback loops, setting up grievance redressal mechanisms, and conducting third-party sample surveys, while formative evaluations focus on the relevance of the intervention in a given context to facilitate policy learning.

Introduction

The project aims is to assist the GoP in identifying citizens affected by, and in need of social assistance due to covariate shocks, in particular emergencies. Here, covariate shocks are considered as emergencies, whether natural or manmade, that affect large sections of the country's population simultaneously (Bastagali & Holmes, 2014; Transform, 2020).

The project's research question is:

What are the targeting mechanisms that can effectively identify priority beneficiaries to help Pakistan develop shock-adaptive emergency cash transfer programs?

By outlining the advantages and disadvantages of different targeting mechanisms, i.e. methods to identify those in need of social assistance, the project can inform decision-making by the GoP on emergency-related social assistance. The project limits its scope to the following parameters to deliver refined analysis and targeted recommendations:

a. Focus on immediate aftermath of emergencies, both manmade and natural, as the policy context within which interventions are undertaken.
b. Focus on unconditional cash transfer programs as the mode of social assistance to mitigate impact of emergencies.
c. Focus on horizontal expansion to identify potential beneficiaries that have become vulnerable due to the shock, but may not be included in the government's existing databases.

The structure of the report is as follows:

i. **Report Methodology**
ii. **Section I:** Introduction to Pakistan's existing policy context and the need to develop a shock-responsive social protection system
iii. **Section II:** Discussion on the barriers that Pakistan faces in developing a shock-responsive social protection system
iv. **Section III:** Overview of emergency-specific targeting mechanisms and discussion of their advantages/disadvantages based on existing cases from low- and middle-income countries
v. **Section IV:** Outline of the 'First Principles', i.e. the foundational values, including the vision, mission and statement that should underpin a shock-responsive social protection system
vi. **Section V:** Outline of the toolkit developed on the basis of an decision-making toolkit to inform choices of targeting mechanisms within particular emergency contexts
vii. **Section VI:** Overall system-wide recommendations to help Pakistan develop data-systems that can underpin a shock-responsive social protection system

Report Methodology

The project's research methodology includes four main components: semi-structured interviews, case study analysis, literature review, and a faculty-led feedback workshop. The focus and objectives of each method are outlined below.

Semi-structured Interviews

The project benefits from 15 semi-structured interviews, with both Pakistan-specific and international experts. Each interview lasted for an average of 53 minutes and was conducted online. Interviewees' explicit consent was sought to not only transcribe responses but also to include/exclude their name and organisation in the final report as preferred by them. Given varying preferences on inclusion of name and organisation, the report anonymizes all responses for the main sections of the report.

The project team reached out to a total of 44 potential interviewees. Of these, 16 did not respond, 12 declined, and 16 agreed to the interview. The choice of interviewees was based on the alignment of their professional experience with the gaps that the project sought to fill. For example, even though cash transfer is a conventional social policy tool, emergency cash transfers are a humanitarian intervention. Therefore, the project team sought to interview cash-transfer experts at international humanitarian organisations in particular. Moreover, interviews with Government of Pakistan officials were critical in understanding shock-related gaps in Pakistan's social protection. An overview of the interviewees is included in Figure 1 and 2.

The interview questionnaire continuously evolved during the project based on both the interviewees' feedback and the team's research. It included two main components: i). structured questions around factors that inform choice of targeting mechanism ii). open-ended questions that explore broader themes related to shock-responsive social protection. The detailed questionnaire is included in Annex II.

Figure 1: Breakdown of Pakistan-specific Interviewees

Figure 2: Breakdown of International Experts Interviewees

Case Study Analysis

The report uses case study analysis to understand the application and outcomes of the different targeting mechanisms in low- and middle-income countries. Particular case studies for each targeting mechanism were identified through our interviews with international experts. Peer-reviewed papers and programmes' monitoring-evaluation (M&E) reports were used to conduct an in-depth analysis these targeting mechanisms and draw their relevance to Pakistan's case.

Literature Review

The team sought out relevant literature to review based on carefully identified search terms which would not only yield maximum hits on relevant publication databases, but also be focused on targeting mechanisms for cash transfers. Using this we identified various documents including peer-reviewed studies to M&E reports for relevant emergency-specific interventions. The list of search databases and terms is included in Annex III.

Workshop with LKYSPP Faculty

The team also conducted a feedback workshop with three relevant faculty members at the LKYSPP to soundboard the project's final findings and recommendations. The feedback received from the faculty was utilised in drafting the final report.

Section I - Introduction to Shock-responsive Social Protection in Pakistan

Ia. Pakistan's Disaster Risk Profile

Pakistan's shock-responsive social protection policies need to reflect the country's status as one of the most disaster-prone countries across the world - frequently beset by both natural and manmade emergencies (CFE-DM, 2021). Its unique topography and exposure to extreme climates make it vulnerable to recurrent natural disasters (Rafiq & Blaschke, 2012). Consequently, lives and livelihoods are frequently disrupted by a range of hydrological, meteorological, geophysical and biological hazards. These include earthquakes, floods, tsunamis, cyclones, droughts, glacial lake outbursts, and landslides, amongst others. Pakistan has suffered approximately $18 billion worth of damages in both lives and livelihood from natural disasters over the past one decade (Khan, 2017). Millions of people are affected annually by them (Kunbhar, 2021), with 40 percent of the country's population considered vulnerable (World Bank, n.d).

Figure 3 shows the emergencies in Pakistan ranked according to their frequency of occurrence. Floods and landslides occur with the highest frequency, followed by earthquakes, droughts, and cyclones (Rafiq & Blaschke, 2012).

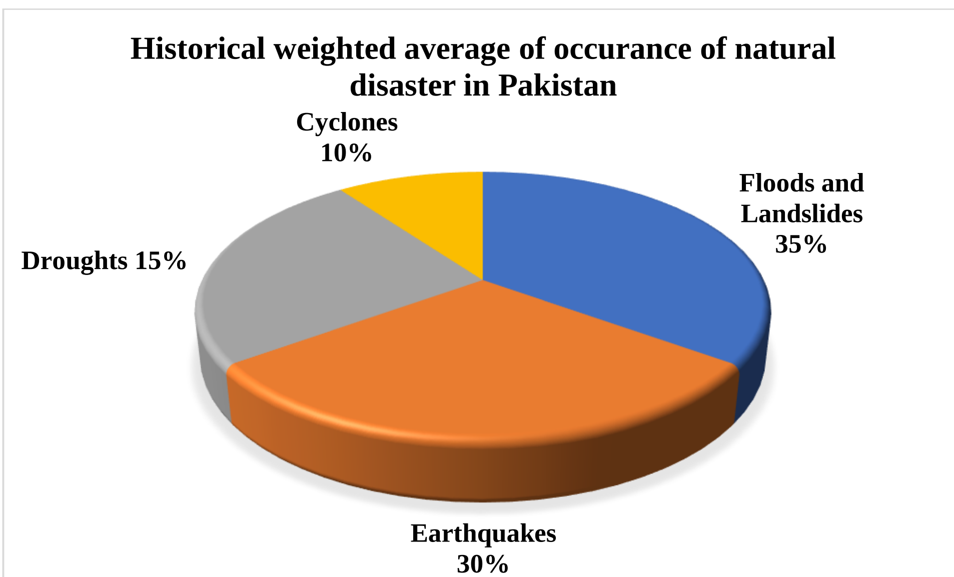

Figure 3: Frequency of Natural Disasters in Pakistan (Rafiq and Blaschke 2012)

Apart from natural disasters, Pakistan also suffers from a series of man-made ones. Over the past three decades Pakistan has experienced several conflicts, related to terrorism and insurgency in the country's Khyber Pakhtunkhwa and Balochistan provinces. Evidence indicates that manmade disasters, such as in the form of armed conflict, uproot people from their localities of residence. The fragile security situation in the country's peripheral areas has led to nearly 170,000 households being internally displaced (UNHCR 2014), the consequences of which are as detrimental to lives and livelihood as natural emergencies (Lodhi & Gul, 2021).

Ib. Overlap in Pakistan's Disaster and Poverty Profile

As of 2019, 21.9 percent of the population in Pakistan lives below the poverty line (PASS, n.d.). Therefore, a large segment of Pakistan's population is already poor, and likely to be pushed into extreme poverty due to these covariate shocks (UNDP, 2020). Moreover, 2018 estimates also suggest that nearly 20% of the country's population lies just above the poverty line, indicating its vulnerability to emergencies (PIDE 2021).

Of particular concern within this context are the country's disaster-prone districts. As per Pakistan's National Disaster Management Authority (NDMA, 2017), districts with extreme poverty lie in the south-west and north-east of Balochistan, the south of Punjab, the south-west of Sindh and north-west of the Khyber Pakhtunkhwa provinces. There is also significant overlap between poverty incidence and disaster risk for these districts. Of the 23 districts ranked with extreme poverty, 18 have a high natural hazard classification (Naveed & Khan 2018). Moreover, districts in the south-west of Balochistan, south of Punjab, and north-west of Khyber Pakhtunkhwa also have high security risk rankings (EASO 2021), indicating their proneness to manmade disasters. Annex IV shows the district wise distribution of the poor population in provinces that are most vulnerable to disasters and emergencies.

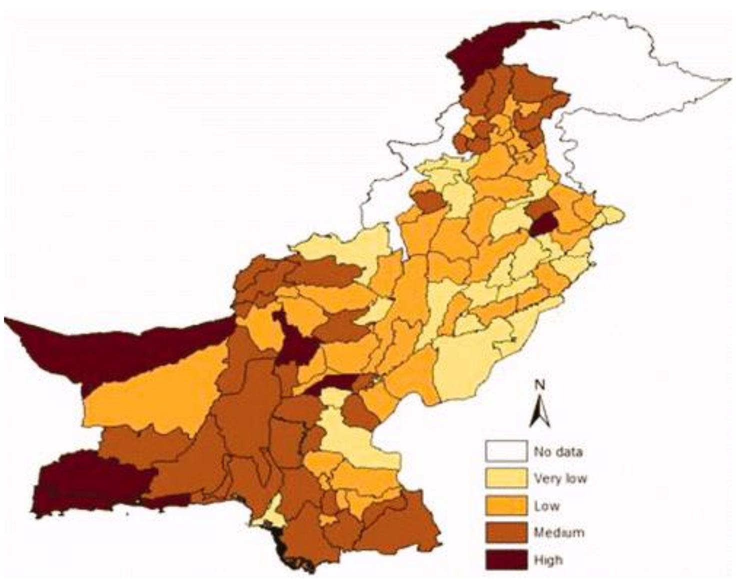

Figure 4: Overlap of natural disaster and poverty in Pakistan (Rafiq & Blaschke, 2012).

Section II - Weaknesses in Pakistan's Shock-responsive Social Protection System

The use of unconditional cash transfers (hereafter referred to as cash transfers) is particularly important for shock-responsive social protection. It has gained prominence as an intervention to mitigate the impact of emergencies across low and middle-income countries over the past two decades (Creti & Jaspers, 2006; Harvey & Bailey, 2011; World Vision, 2018). As compared to other policy interventions such as cash-for-work and asset transfer programmes, unconditional cash transfers are easier to administer (Kelaher & Dollery, 2008; Rezvan et al., 2008) with positive effect for overall household wellbeing, including health outcomes (Bliss et al., 2018; Van Daalen et al., 2022), food access (Londoño-Vélez & Querubin, 2022; Vathana et al., 2015), and in some cases, an overall decline in poverty (Cardoso, 2020; Ozler et al., 2021). In some cases, cash transfer programs can also help spur local economic growth (Doocy & Tappis, 2017).

The GoP has also frequently used cash transfers to mitigate disaster induced shocks. For example, after the 2010 floods, the government created a rapid-response cash grant program that supported recovery efforts of an estimated eight million people, lifting many from near-certain poverty (Zaidi et al., 2010). Similarly, cash assistance was also used to mitigate the impact for citizens affected by military operations in the Malakand Division of the Khyber Pakhtunkhwa province in 2009 (Seyfert & Ahmad, 2020). More recently, the GoP introduced the *Ehsaas Emergency Cash* (EEC) programme to assist citizens impacted by the COVID-19 pandemic (Nishtar, 2020). For a more detailed overview of emergency cash transfer programmes in Pakistan, please see Annex V.

One of the main challenges in developing a shock-responsive social protection is to rapidly identify beneficiaries pushed into poverty due to the emergencies and to target the disbursement of assistance accordingly (Sabates-Wheeler et al., 2014). Identification of beneficiaries can be done through various *targeting mechanisms*. Some of the commonly used methods include proxy means-testing, geographical targeting, categorical targeting, individual and household targeting, and self-targeting (Devereux et al. 2015), discussed in more detail in Section III. Within this context, the report highlights three key weaknesses in Pakistan's social protection system, as identified through project interviews and literature review, which impede the effective identification of beneficiaries in emergency contexts.

IIa. Institutional Lock-in of Particular Targeting Mechanisms for Cash Transfers

The GoP has used a variety of targeting mechanisms to identify beneficiaries for the cash-based assistance both for emergency and poverty alleviation contexts. For example, geographical and proxy-means targeting was used during the Kashmir earthquake in 2005 (Zaidi et al., 2010). Self-targeting and proxy-means testing were utilised to identify citizens in need of assistance as a consequence of the COVID-19 pandemic under the *Ehsaas Emergency Cash* (EEC) programme (PASS n.d.). Community-based targeting is used for the government's *Zakat* and *Ushr* disbursements, as well as for Sindh's *People's Poverty Reduction Program* (Seyfert & Ahmad, 2020).

However, a common motif across most cash-based interventions is the reliance on proxy-means testing as the central targeting mechanism. Its frequent use reflects an institutional lock-in as a result reflective of the overall development of social protection policy in Pakistan (Sarwar, 2018). Initially, Pakistan relied on its parliamentarians to identify beneficiaries in their respective constituencies for cash-based assistance under the *Benazir Income Support Programme* (BISP), the country's first flagship cash transfer programme launched in 2008[1]. This was a form of community-based targeting, where elected representatives relied on their local networks to enrol beneficiaries (Vyborny & Haseeb, 2022). However, evaluation reports indicated significant leakages, where non-deserving beneficiaries were also included to strengthen vote banks (Vyborny & Haseeb, 2022).

In order to reduce leakages (Jalal & Udry, 2017) and increase the trust of international donors, Pakistan transitioned to proxy-means testing in 2010. As identified by Interview Respondent Number 12 (IRN-012), "Proxy-means testing was considered an ostensibly scientific method. It absolved [the government] of directly identifying beneficiaries … by stating that whichever citizen made the cut was more a function of how the proxies were defined, rather than active choice [by the government]". Community-based targeting had also been the subject of criticism by international lenders, who conditioned the availability of aid on use of proxy-means testing instead. For example, IRN-008 stated that "international donors actually began a campaign to vilify the method [community-based targeting], although it was very clearly explained … The PMT [proxy-means testing] had been the targeting method of choice for international development partners particularly since 2005".

Given the alignment of interests, and the need to develop a more structured beneficiary identification method, proxy-means testing is now the main targeting mechanism for Pakistan. However, the method results in several limitations. Firstly, it restricts the ability of the government to target the 'new poor' that are not included in the poverty registry that underpins proxy-means (Nishtar, 2020). Secondly, the estimated weights for different wealth proxies may become outdated and result in incorrect identification of beneficiaries (Jalal & Udry, 2017). Most importantly, it

[1] The *Benazir Income Support Programme* refers both to the cash transfer programme and the implementing agency for national safety nets initiatives, created through an Act of the Parliament in July 2008. Although the cash transfer programme was renamed as *Ehsaas Kafalat* in 2019, BISP continues to be the implementing agency for the umbrella social protection initiative called *Ehsaas*, as situated under the Poverty Alleviation and Social Safety Division of the Federal Government of Pakistan.

limits the options of targeting mechanisms available to identify potential beneficiaries in emergency contexts.

IIb. Reliance on a Static Poverty Registry

Given that Pakistan has primarily relied on proxy-means testing, the static poverty database that underpins it, i.e. the National Socio-economic Registry (NSER), has been criticised as a limiting factor (Saleem, 2019). The NSER is based on a door-to-door nation-wide survey in an exercise similar to the census. This requires devotion of significant resources, including mobilisation of a wide-range of civil-society actors to update it. Although the government has now set a four-year periodicity for updating the NSER (Daily Times, 2022), its latest update was completed in December 2021 following a delay of nearly five years (communicated by the IRN-011).

Now, there seems to be increasing recognition within the government that updates cannot be conducted at a regular frequency, particularly that of five years (IRN-011). Therefore, the government now intends to develop a *dynamic* poverty registry that employs a range of targeting mechanisms for its shock-responsive targeting mechanisms (PASS, n.d.a.). The present static nature of the registry is also at risk of being used for political motives, as IRN-014 shared that "In Pakistan, cash transfers are often linked with political considerations … [the] database can be linked with political programs which parties can use for electoral gains".

IIc. - Lack of Clarity on Shock-responsive Social Protection Objectives

Social protection systems could have varied objectives such as poverty alleviation, improving livelihoods, reducing hunger, empowering women and girls and so forth. However, shock-responsive social protection systems focus on emergency measures with short term objectives, generally to reduce immediate stresses. As identified by IRN-017, "In the aftermath of shocks, people above the poverty line may become poor and the chronic poor may become poorer. The targeting population….becomes different. Emergency provisions are short term and protect livelihoods. They are like a safety net. People get stressed about conditionality."

Pakistan's umbrella social protection program, *Ehsaas* draws its vision from former Prime Minister Imran Khan's speech (PASS, n.d.b.) but does not have principles specific to emergency contexts. In the next section, the report defines the clear principles that a shock-responsive social protection system should have. The project has developed outputs, as captured in Table 1, to address the above-mentioned weaknesses in Pakistan's shock-responsive social protection policy.

Table 1: Weaknesses in Pakistan's Emergency Social Protection Response and Project Outputs to Address Them

Weakness	Project Output
To address the gap in lack of clarity on Shock Response Principles	The project outlines the **First Principles** of Shock-responsive Social Protection
To overcome the issue of Institutional Lock-in for Particular Targeting Mechanisms	The project recommends **Decision-making Toolkit** to guide the choice of targeting mechanisms in emergency scenarios
To resolve the issue of reliance on Static Poverty Registry	The project lays down **System-wide Recommendations** to help Pakistan transition to a dynamic registry

Section III - Overview of Targeting Mechanisms for Emergency Cash Transfers

IIIa. Targeting Mechanisms Relevant to Emergency Cash Transfers

The choice of targeting mechanisms depends on the nature of the emergency. While countries are now experimenting with novel approaches such as remote sensing (Pizatella-Haswell, 2018) through street lights data or lotteries, the most commonly used beneficiary identification processes can be narrowed to the following five mechanisms, based not only on predominance of their use across low- and middle-income countries (Devereux et al., 2015) but also in Pakistan (Seyfert & Ahmad, 2020).

Proxy-means Testing

Proxy-means targets beneficiaries '*based on a weighted combination of characteristics that are believed to be highly correlated with wellbeing or deprivation*' (Devereux et al, 2015). When there is a lack of adequate information on incomes of potential beneficiaries, proxies related to household consumption (Jalal & Udry, 2017) such as housing characteristics, use of durable goods, and possession of productive assets can also be used (Kidd et al., 2011).

Community-based Targeting

Community-based targeting involves collaboration with community groups or intermediaries to identify beneficiaries (Conning & Kevane, 2002). These intermediaries can be social or religious groups, NGOs, and locally elected officials, amongst others, who may have knowledge on local citizens in need of assistance (Conning & Kevane, 2002).

Self-Targeting

For self-targeting, potential beneficiaries voluntarily enrol themselves for a program. In such cases, the program benefits are set very low so that only those most in need would apply (Seleka & Lekobane, 2020). The mechanism is particularly useful in protecting daily wage labour and domestic public workers in case of emergencies.

Categorical Targeting

Categorical targeting involves deserving beneficiaries based on broad characteristics of interest to policy-makers, which may or may not be correlated with wellbeing or deprivation (Devereux et al, 2015). These categories can include gender, age groups, and marginalised communities. The mechanism can be useful in situations where particularly vulnerable groups of a society are affected by an emergency.

Geographical Targeting

Geographic identification targets potential beneficiaries based on location such as an area affected by a hazard, or a district with high poverty prevalence (Devereux et al, 2015). This method is commonly used in contexts like earthquakes, floods or other natural disasters which strike a particular location.

IIIb. Case Studies Analysis on Targeting Mechanisms

With cash transfers increasingly being used for emergencies (Gentilini et al., 2021), we draw lessons from how other countries have leveraged targeting mechanisms to identify beneficiaries through them. We analyse case studies to identify each targeting mechanism's advantages, disadvantages, and appropriate context, to glean lessons for Pakistan's context. The cases considered have been shortlisted based on extant literature from low- and middle-income countries, as well as recommendations made by the interviewees.

Proxy-means Testing : Case of Colombia's Ingreso Solidario
Proxy-means testing (PMT) was used by Colombia for its *Ingreso Solidario* (IS) programme, aimed at targeting 3 million beneficiaries, especially those not covered under existing mechanisms such as informal economy workers (Blofield et al, 2021). One of the constraints was the lack of a unified database containing beneficiaries who were not a part of any of the existing programs. To overcome the barrier, the programme created a unified database using existing administrative data, to include and exclude deserving beneficiaries based on proxies. Now the main concern shifted from finding the vulnerable population to using the integrated database to narrow down to deserving beneficiaries (López, 2021). Hence, PMT helped in using the integrated database to maximise transfers to deserving beneficiaries.
Relevance to Pakistan: Since Pakistan has also relied on proxy-means testing for targeting, Colombia's case can help better understand the applicability of PMT in a developing country's context. IS's focus on informal economy workers and creation of a unified database of those who are not covered by existing programs can provide learnings for Pakistan in developing an integrated and dynamic data system.

Community-based Targeting: Case of Kenya's Hunger Safety Nets Program

The 2008 Hunger Safety Nets (HSN) program in Kenya used geographical, categorical and community-based targeting respectively in different districts to identify beneficiaries for emergency cash transfers in response to a food security crisis (Beesley et.al, 2012). Subsequent monitoring and evaluation studies for the programme (Himmelstine & McCord 2012; Tsegay, 2013) identified community-based targeting as the most effective beneficiary identification process amongst all targeting methods used. The mechanism focused on the household entitlement, where the communities set the enrolment criteria given the local circumstances (Himmelstine & McCord, 2012). Therefore, the intervention empowered local communities to identify beneficiaries, who were then shortlisted in open meetings to add greater transparency. Overall, relying on communities to decide the deserving amongst them was particularly effective in targeting the marginalised and illiterate groups, who were left out in other mechanisms (Tsegay, 2017).

Relevance to Pakistan: Pakistan also relies on community-based targeting for two poverty alleviation programmes, i.e. the *Zakat* and *Ushr* distribution, as well as Sindh's *People's Poverty Reduction Program*. However, the mechanism can also be used for emergency specific contexts, especially in rural localities. Kenya's case highlights the importance of engaging communities in all the stages of targeting and may also be adopted in Pakistan's context.

Self-Targeting: Argentina's Ingreso Familiar de Emergencia (IFE)
A recent success case of self-targeting is Argentina's Ingreso Familiar de Emergencia cash transfer program implemented in response to the COVID-19 pandemic. When the pandemic hit, Argentina already had unemployment insurance in place for formal sector workers. (Blofield et al, 2021). However, informal workers and those self-employed had limited or no access to such social protection (Arza, 2021). Through the IFE, the government sought to expand the coverage to those previously excluded. To achieve this, it relied on self-targeting, enabling individuals to self-enrol based on an easily identifiable criteria. Implementing self-targeting helped in quick and effective targeting of the population in need and enabled the government to reach almost 9 million beneficiaries within a period of 3 months (Blofield et al, 2021). Being demand-driven, the programme was not free of inclusion errors. However, the advantages outweighed the costs. In a similar vein, IRN-018 highlighted that, "During an emergency scenario, time-effectiveness and exclusion error should take predominance as cash should reach the needy as quickly as possible; inclusion errors should not be given priority."
Relevance to Pakistan: Argentina's self-register cash transfer programme was specifically designed to support the informal sector with no steady income. Stratifying the targeted population and designing specific social programmes for excluded groups as a part of the package of emergency response can be an important policy learning for Pakistan, which also faced a similar challenge while designing the *Ehsaas Emergency Cash* as a response to COVID-19.

Categorical Targeting: Case of Bolivia's Bono Contra el Hambre (BCH) Programme

The Bolivian government used categorical targeting for a cash transfer programme called the Bono Contra el Hambre (BCH) during the COVID-19 pandemic. It specifically targeted not only informal workers and self-employed but also pregnant women, mothers of children below 2 years of age and disabled individuals. The program also focused on people from rural and indigenous communities (Gentilini et al, 2021).

One advantage of categorical targeting was that it was easy to put in place in case of an emergency, especially since vulnerable groups like pregnant and early mothers and disabled people are comparatively easier to discern. It was also easier to explain and implement in communities unlike, say, Proxy-means Testing (PMT) which is inherently more complex. The ease in implementation is evident with the flexibility of disbursing money both through cash registers, bank tellers, and digital payment systems due to ease in targeting only these particular groups (Bolivia Loan Proposal, 2021). Hence, categorical targeting works well for simple quick application and implementation.

Relevance to Pakistan: Given that vulnerability of specific categories of citizens such as pregnant women, mothers and disabled people are location agnostic, categorical targeting can be applicable to Pakistan's context as well. Moreover, given Pakistan's experience in using categorical targeting for BISP where aid is disbursed only to female members of the household, learnings from BCH can be helpful in terms of targeting other vulnerable groups despite the risk of slightly higher inclusion errors.

Geographical Targeting: Republic of Congo's Lisungi Emergency Cash Transfer
The one-off emergency cash transfer employed by the Republic of Congo (RoC) during the pandemic provides many learnings. Using the existing social protection program called Lisungi, this new emergency transfer was aimed to help about 2 million beneficiaries in Kinshasa and other urban areas which were most affected by the pandemic (World Bank, 2021). Since the impact of the COVID-19 pandemic was more severe in urban areas than when compared to rural areas in Africa, this was an ideal example of geographical targeting. The program could be quickly and cheaply implemented as there was no need for assessment of individual beneficiaries. Due to the ongoing internal conflict, RoC had been facing recession and other economic issues, especially in urban areas (World Bank Group, 2020) and these urban areas were the first to be affected by the pandemic. Hence, it was very effective to use the existing national social safety program to add an additional emergency transfer component in urban areas as an immediate response to the COVID-19 pandemic. This is one of the main advantages of using geographical targeting, especially in case of natural disasters such as floods and droughts where response can be very quick and targeted on the most affected groups.
Relevance to Pakistan: Given the high prevalence of natural disasters in Pakistan, geographical targeting is apt in most situations. While Pakistan is majorly a rural country, Lisungi's unique case of geographical targeting during a health pandemic in urban areas can provide learnings for Pakistan for disasters or crises that are more applicable in urban areas. Additionally, this case focusing on the program's use to mitigate economic crises could also provide learnings to Pakistan in helping urban poor deal with recessions.

Lee Kuan Yew School of Public Policy

Combination of targeting mechanisms: Nepal's 2015 Earthquakes

Generally, given the complexity of real-life circumstances, many social assistance programs use a combination of two or more targeting mechanisms to reach the intended beneficiaries. This may either be simultaneous (that is, individuals must satisfy two criterion such as an income test and a categorical test) or sequential (that is, firstly, a geographical area is identified and then a means-test is applied to determine the poor households) (Devereux et al, 2015).

One of the notable cases which involved the use of combination targeting mechanisms was the emergency cash transfer implemented right after the 2015 Nepal earthquake. Between late April and early May 2015, two powerful earthquakes struck Nepal causing damage of US$ 7 billion and pushing many Nepalese people below the poverty line (Willitts-King & Bryant, 2016). In response to this crisis, the United Nations Children's Fund (UNICEF) implemented an emergency cash transfer programme (ECTP) over two phases (Merttens et al., 2017). The programme used the registered beneficiaries of existing Nepal social assistance programmes. Since the emergency was geographically concentrated, the first phase of the programme targeted five vulnerable groups such as Dalit children, widows and single women, persons with disabilities, senior citizens, and members of minority ethnic groups in nineteen most affected districts (Merttens et al., 2017). In this case, a sequential combination of geographical targeting followed by a categorical test had been used. The second phase of the programme again used a combination of the above two mechanisms. However, the cash assistance now only targeted children under 5 years.

Given the nature of the emergency in Nepal, combination targeting enabled high coverage among the target population. This emergency cash transfer was quick and effective as it utilised the existing national social assistance systems in Nepal in terms of beneficiary identification and cash disbursements rather than setting up new operational systems. UNICEF relied on existing systems in a bid to prioritise speedy delivery at the risk of excluding the 'new poor'. Despite high coverage, an independent assessment survey shows that the programme accounted for a small percent of exclusion error, mainly due to lack of documentation, accessibility concerns to remote areas, migration or displacement and insufficient funds (Gurung, 2015).

Relevance to Pakistan: Various policy learnings from Nepal's, such as utilising the existing beneficiary databases to target vulnerable groups, adding categories on top of them to extend coverage, mobilising resources (international organisations such as UNICEF, local governments, NGOs) and setting up grievances mechanisms can be considered relevant to Pakistan.

IIIc. Advantages and Disadvantages of Targeting Mechanisms

Based on the lessons learnt from the case studies, the available literature on targeting performance, and insights gathered from interviews, the advantages and disadvantages of each targeting mechanism can be outlined to choose which one is best suited for different emergency contexts in Pakistan. The advantages and disadvantages are based on eight parameters which inform the choice of a targeting mechanism, and are determined in light of Devereux (1999), Devereux et al. (2015), ICRC (2007), and Sabates-Wheeler et al.'s (2014) analysis of beneficiary identification processes. They include:

i. **Administrative Barriers:** Whether the targeting mechanism allows for overcoming administrative barriers, such as an outdated poverty registry.
ii. **Cost-effectiveness:** Whether the targeting mechanism allows for achieving poverty alleviation/disaster-impact mitigation at the lowest possible cost, particularly the cost of beneficiary identification.
iii. **Exclusion Errors:** Whether the targeting mechanism allows minimum undercoverage, i.e. exclusion of deserving beneficiaries.
iv. **Inclusion Errors:** Whether the targeting mechanism allows minimum overcoverage, i.e. inclusion of undeserving beneficiaries.
v. **Indirect Costs:** Whether the targeting mechanism promotes perverse incentives amongst beneficiaries, such as not joining a job in case they become ineligible for cash-assistance.
vi. **Political Considerations:** Whether the targeting mechanism allows for beneficiary identification such that it has political buy-in from the government.
vii. **Private and Social Costs**: Whether the targeting mechanism minimises the private costs, i.e. the cost for the beneficiary to access the aid, as well as the social costs, i.e. it does not adversely affect social harmony between beneficiaries and non-beneficiaries.
viii. **Time Effectiveness:** Whether the targeting mechanism allows the government to quickly identify beneficiaries and reach them quickly within the shortest possible time.

The advantages/disadvantages of the five targeting mechanisms are outlined in Table 2.

Table 2: Advantages/Disadvantages of Targeting Mechanisms

	Time Effectiveness	Exclusion Errors	Administrative Barriers	Private and Social Costs	Political Considerations	Cost Effectiveness	Inclusion Errors	Indirect Costs
Proxy-means	Time intensive process - dependent on door-to-door survey	Low to high exclusion errors based on percentage of population targeted	Low to moderate administrative barriers since uses wealth proxies but also relies on poverty registry	Low social costs as beneficiary identification based on an mathematical formulae for poverty cut-off rather than active identification by government actors	Low political constraints since externalizes decision-making to formulae-based calculation	Low on cost effectiveness as requires the existence of a poverty registry developed through nation-wide census	Low to high exclusion errors based on percentage of population targeted	Can lead to perverse incentives
Self-targeting	Time intensive process - requires beneficiaries to come forward and self-register	Low rate of exclusion error since only administrative costs would only motivate deserving beneficiaries to enroll	Low to moderate administrative barriers based on mechanism for registering potential beneficiaries	Low social costs as onus of registration on beneficiaries	Low political constraints as puts onus of registration on beneficiaries	Highly cost effectiveness as puts the onus of enrolment on beneficiaries	Low to moderate based on robustness of the exclusionary criteria used to weed-out non-deserving beneficiaries	No indirect costs
Categorical	Not time intensive since only requires operationalizing broad categories	Low to moderate exclusion errors if beneficiaries under the categories are easily identifiable	Low administrative barriers since only relies on broad categories	Low to moderate social costs since identification based on broad categories, particularly if recipient category retains empathy of wider population	Low political constraints if categories targeted can be empathized by wider population	Highly cost effective as does not involve a complex beneficiary identification process given broad categories	Low to moderate inclusion errors if beneficiaries under the categories are easily identifiable	No indirect costs
Geographical	Not time intensive since to only to specific geographies	Low exclusion errors since all citizens within a restricted geography would be included	Low administrative barriers since focused on specific geography	Low social costs since whole geography targeted	Low to moderate political constraints - based on choice of geography to be targeted	High cost effectives as disburses aid to all citizens in a restricted geography	Low inclusion errors since beneficiaries only within the restricted geography will be targeted	Can lead to perverse incentives
Community-based	Not time intensive if utilized in smaller and homogenized society	Low to high exclusion errors based on effectiveness of community mobilization and social cohesion within the locality	Low to moderate administrative barriers which depends on availability of local intermediaries for community mobilization	High social cost in socially divisive society and can exacerbate existing divides	High political constraints as may prefer one community over another	Moderate to low on cost-effectiveness as resources might be required to mobilize local intermediaries	Moderate to high inclusion errors since involved human agency in identifying individual beneficiaries	Can lead to perverse incentives

Section IV- First Principles of Shock-responsive Social Protection

Most countries in the world have dedicated social protection systems, either within specialised ministries or cutting across different work streams. Depending on a variety of factors, including income, political incentives, and socio-economic considerations amongst others, the design, capacity, and extent of these programs varies (Gentilini et al., 2021). More broadly, every social protection system across the world is underpinned by a *vision*, *mission* and programme-specific *objectives* that guide definition of modalities and operations (ILO, n.d.). While the vision governs the overall values of the social protection system, individual programmes may vary in their missions and objectives based on particular goals.

This section of the report outlines the vision, mission, and objectives that should be adopted specifically for shock-responsive emergency social protection in Pakistan. It highlights how the emergency response goals may differ from that of overall poverty alleviation and income/asset generation social protection programming, specifically by reflecting on the case of Pakistan.

IVa. Vision of Shock-responsive Social Protection

The vision of a social protection program establishes what it sets out to achieve. A clearly stated vision reflects the social contract between the state and the citizen, aids the program's management in making design choices, and enables the citizen to hold the government accountable. In Pakistan's case, during the tenure of former Prime Minister Imran Khan, the complete gambit of social protection initiatives were captured under the *Ehsaas* programme, including those for shock-responsive emergency social protection.

As per former Prime Minister Imran Khan's policy statement, the overall *vision* of *Ehsaas* is to '*reduce inequality, invest in people, and lift lagging districts … to enable creation of a welfare state*' (PASS, n.d.b.). Not only does this signal the government's commitment to the social policy agenda, but also generates a specific set of missions for its emergency-responsive programming, called *Ehsaas Tahaffuz*.

IVb. Mission of Shock-responsive Social Protection

A mission statement directs how the vision would be achieved. In an emergency cash transfer situation, governments typically do not aim to alleviate poverty, but instead, focus on supplementing the income of the poor, mitigating immediate economic impact of the disaster, and preventing loss of life and destitution of affected people.

Currently, the GoP's mission for shock-responsive social protection includes four key pillars (PASS, n.d.b.):

1. Launch of shock-responsive social safety nets, called *Ehsaas Tahaffuz*
2. A focus on widows as recipients of government aid
3. The provision of legal aid to better equip the affectees of emergencies

4. A focus on other marginalised groups including '*orphans, street children, seasonal migrants, transgender, victims of child and bonded labour*' (PASS n.d.b.), particularly through collaboration with civil-society organisations

Although the *Ehsaas* policy identifies some of the key principles of a shock-responsive social protection, they can be expanded to include other missions that can inform the choice of targeting mechanisms for emergency cash transfers. These missions were identified by the experts interviewed by the team and include the following, in decreasing order of priority:

1. To prevent loss of lives
2. To mitigate the immediate economic impact and daily stresses induced by the emergency
3. To minimise prospects of long-term economic loss

IVc. Objectives of Shock-responsive Social Protection

Objectives are comparatively narrow intervention specific goals. In an emergency cash transfer setting, objectives may include timeframes within which aid would be disbursed to the eligible beneficiaries, as well as the desired breadth and depth of coverage. Here, the eight parameters outlined in Section IIIc to inform the choice of targeting mechanisms were also used to set the objectives for shock-responsive emergency cash transfers. The interviewees were asked to stack-rank each parameter in *decreasing order of priority* within the context of emergencies. Out of these, the parameters that received a cumulative ranking score of less than 65, thereby indicating their high priority in emergencies, include (in decreasing order): i) time effectiveness; ii) exclusion errors; iii) administrative barriers; and iv) reduction of private and social costs. The remaining four parameters with a cumulative ranking score of more than 65, thereby indicating their low priority in emergencies, include in decreasing order of priority: i) political considerations; ii). cost effectiveness; iii) inclusion errors, and iv) indirect costs.

Therefore, within context of emergency cash transfers in Pakistan, the objectives should be set such that:

1. Assistance is provided to those affected within the shortest possible time (*Time Effectiveness)*
2. Aid is disbursed to all those affected with minimum under-coverage as possible (*Exclusion Errors*)
3. The intervention is able to overcome the administrative barriers that impede identification and disbursal of aid to those affected (*Administrative Barriers*)
4. The intervention reduces any private and social costs for the beneficiaries to access the assistance (*Private and Social Costs*)

Table 3: Objectives of Emergency Cash Transfers Programmes

No.	**Parameter**	**Description**	**Ranking (*Decreasing Order of Priority*)**
1.	Time Effectiveness	Reaching beneficiaries as soon as possible	1
2.	Exclusion Errors	Excluding beneficiaries who are eligible to receive assistance	2
3.	Administrative Barriers	Overcoming government's constraints in identifying beneficiaries	3
4.	Private and Social Costs	Reducing the private and social costs for the beneficiaries to access the aid	4
5.	Political Considerations	Securing buy-in of relevant political stakeholders	5
6.	Cost Effectiveness	Reducing poverty at lowest cost possible including for beneficiary identification	6
7.	Inclusion Errors	Including beneficiaries who are ineligible to receive the assistance	7
8.	Indirect Costs	Reducing indirect costs, such as promotion of any perverse incentives, for beneficiaries to access the aid	8

Section V - Decision-making Toolkit for Choice of Targeting Mechanisms

Based on foundational principles, advantages/disadvantages of targeting mechanism, as well as the nature of different emergencies, this section outlines a decision-tree to aid the choice of beneficiary identification process. The decision-making toolkit has five sequential nodes resulting in 32 unique emergency-context specific outputs at the end nodes. We start with the five targeting mechanisms, detailed in Section IIIa and at each node eliminate the unsuitable mechanisms. The following graphics highlight the decision nodes and elimination criteria, followed by the actual decision-making toolkit in the form of a decision-tree. The explanatory note expounds on the reasoning behind the elimination. The toolkit is then operationalised using the 2005 Kashmir earthquake setting.

Key:

PMT: Proxy Means Testing
CT: Categorical Targeting
CBT: Community Based targeting
ST: Self-Targeting
GT: Geographical Targeting

Figure 5: Key for Targeting Mechanisms Decision-tree

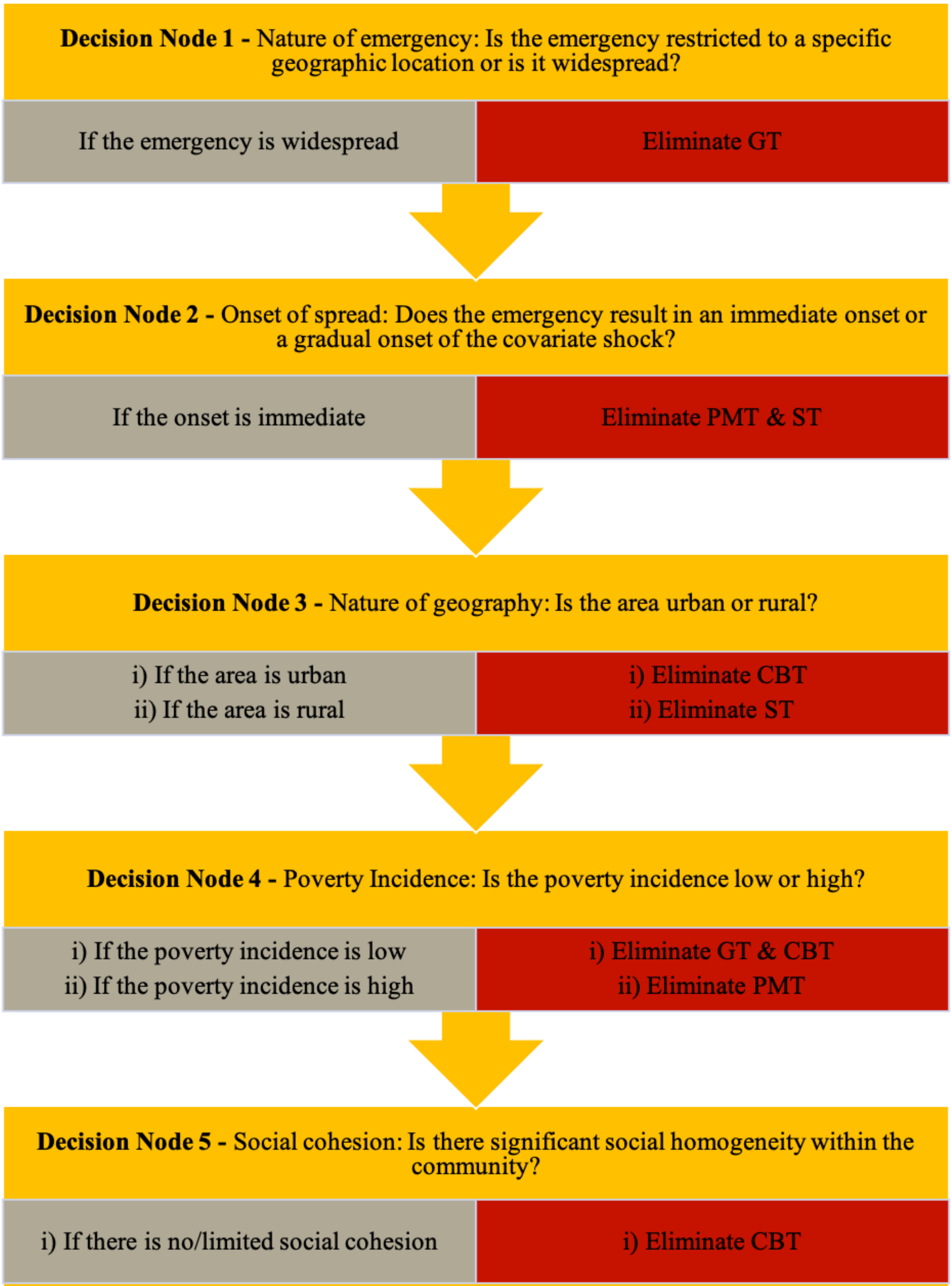

Figure 6: *Decision Nodes in the Toolkit and Elimination Criteria*

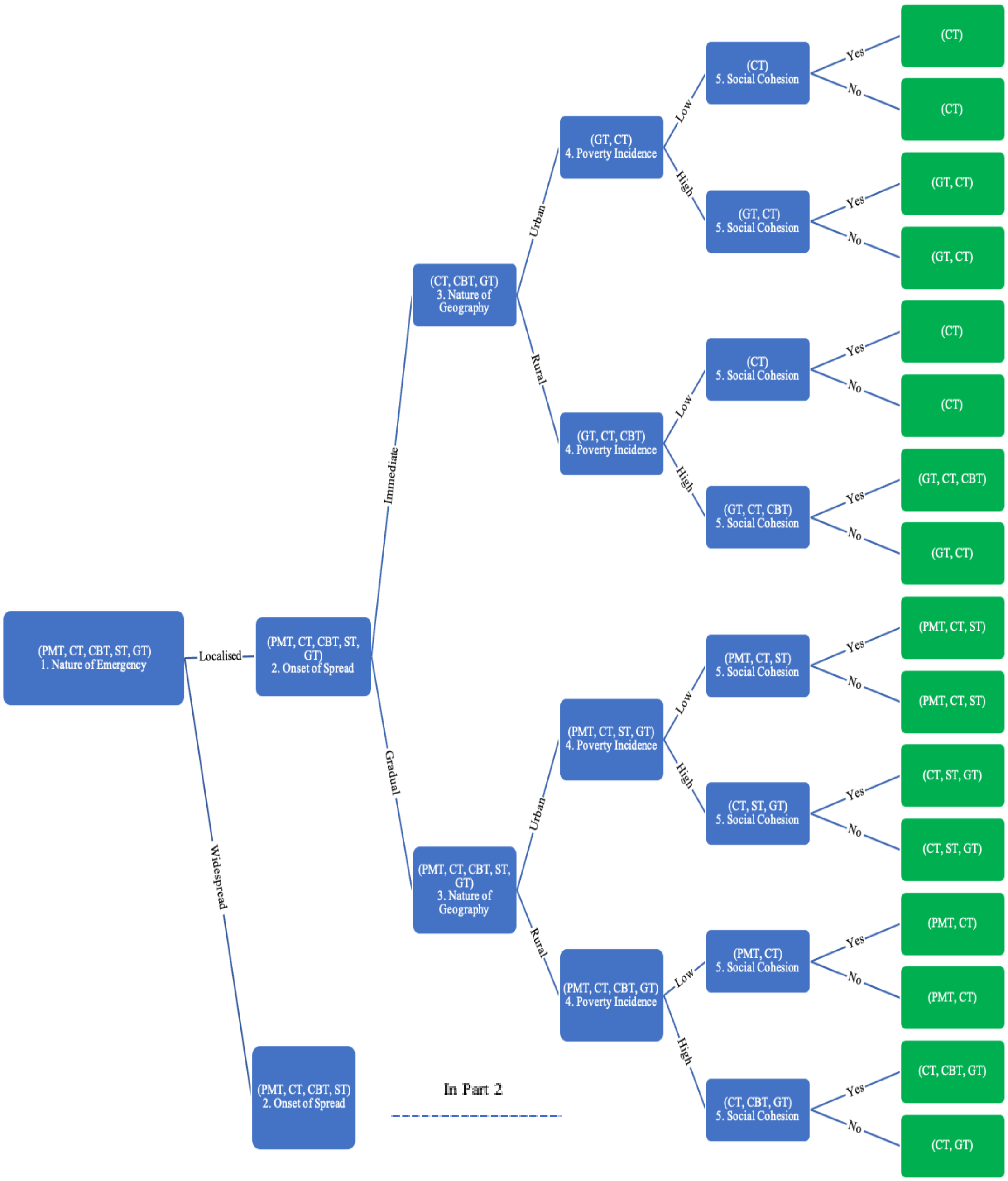

Figure 7a: Decision Tree on Targeting Mechanisms Part 1

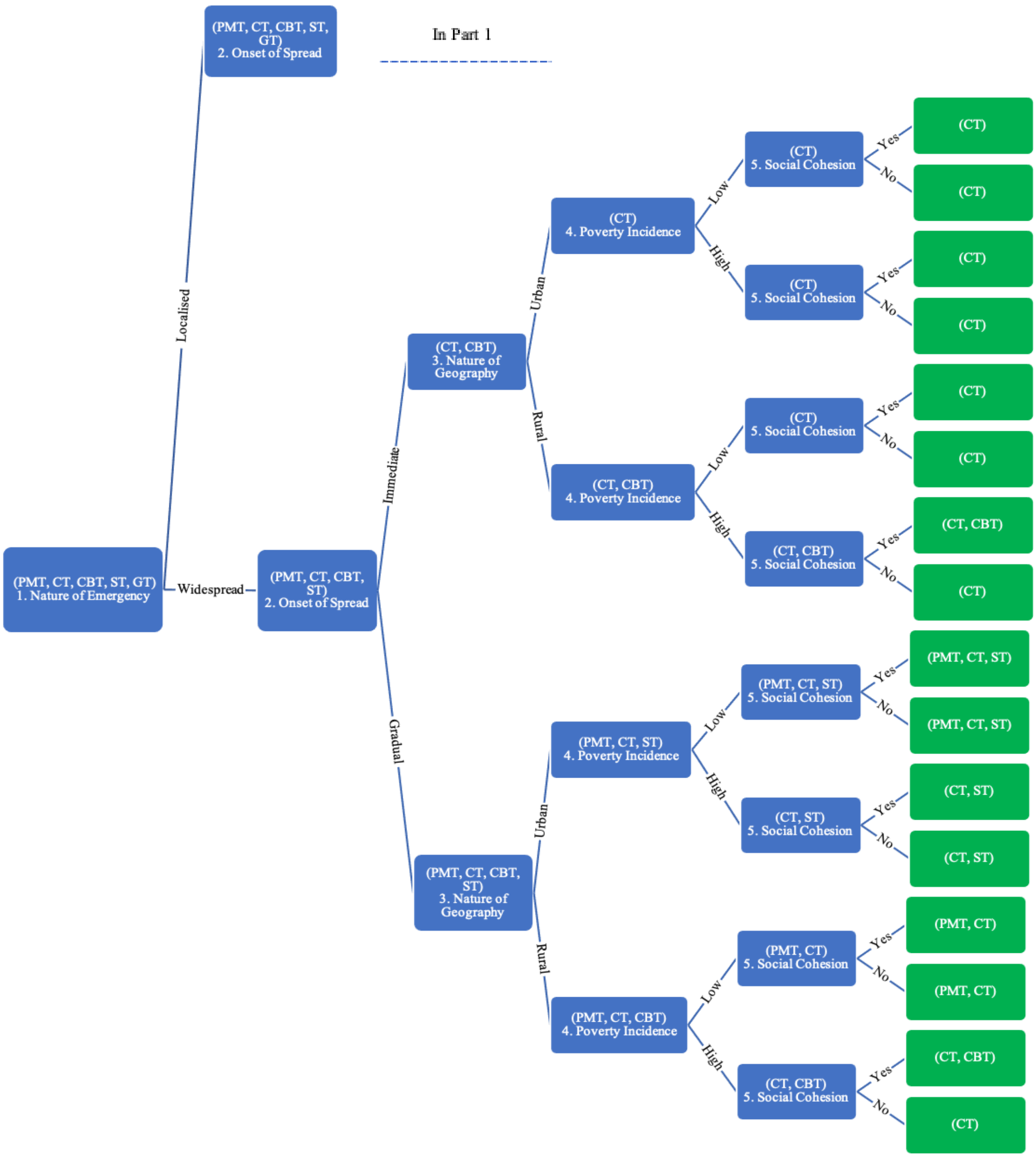

Figure 7b: Decision Tree on Targeting Mechanisms Part 2

Va. Explanatory Note

At the initial node, the decision tree includes the complete set of targeting mechanisms, namely, Proxy-Means Testing (PMT), Categorical Targeting (CT), Community Based Targeting (CBT), Self-Targeting (ST), and Geographical Targeting (GT).

Decision Node 1 – Geographical Spread of the Emergency

First, we consider the nature of the emergency. If the emergency is widespread, we eliminate geography-based targeting. Through our expert interviews, we identified that wide-ranging covariate shocks, such as national pandemics and economic shocks, are not restricted to specific geographies. This is in contrast to geographically restricted covariate shocks, such as earthquakes, floods, and droughts, for which geographical targeting is better suited.

Decision Node 2 – Speed of Shock Onset

Second, we consider the onset of the shock. If the onset is immediate, we eliminate proxy-means testing and self-targeting. As identified by IRN-008 and IRN-011, these methods are time intensive and derail our most important objective of time effectiveness. For example, proxy-means testing may entail fresh surveys to identify those most in need. Similarly, self-targeting would require potential beneficiaries to self-enrol in programs, where the government may have to verify their eligibility through a range of exclusionary criteria, which takes time.

Decision Node 3 – Urban or Rural Setting

Third, we consider if the shock is in a rural or urban setting. Since urban areas tend to be more diverse and heterogeneous, community-based targeting is not recommended and is eliminated. In rural areas, we eliminate self-targeting because access to mobile-phones and internet technology, which can be used to self-enrol by beneficiaries, is limited in Pakistan's rural areas. Nearly 66 percent of Pakistan's cell phone users and nearly 77 percent of internet users are concentrated in urban metropolitans (AlphaBeta, 2021).

Decision Node 4 – Poverty Incidence in Locality

Fourth, we evaluate the poverty incidence of a particular locality. In areas with low poverty incidence, geographical targeting and community-based targeting become irrelevant because these areas are already affluent. If the poverty incidence is high, there is limited utility in conducting a proxy-means testing because there is economic homogeneity in the population, as highlighted by IRN-010.

Decision Node 5 – State of Social Cohesion

Finally, we consider social cohesion within the community. If the social cohesion is low, community-based targeting can further exacerbate existing divides and lead to social instability and is thus eliminated. This was also pointed out by IRN-018. Instead, as identified by IRN-022, categorical targeting, especially based on objective categories such as widows or those with disabilities may be easier to administer in socially divisive societies. Similarly another respondent, IRN 017 also expressed, 'Community based targeting actually works well in communities where people know each other well'.

Vb. General Takeaways from the Decision-making Toolkit

1. We observe that categorical targeting remains suitable for a diverse range of emergencies. This is because it achieves the high priority objectives we devised in the previous section. IRN-022 also signalled this by stating, "the focus of emergency social protection should be on choosing easily identifiable categories instead of expending resources on selecting the 'correct' targeting mechanism". However, this does not mean that categorical targeting can be used in every case because in some situations like geographically-restricted disasters, mechanisms such as geographical targeting are likely to work better.

2. PMT remains suitable only in specific contexts. Pakistan based experts IRN-008 and IRN-012 highlighted that while PMT appears objective and easy to monitor, it results in high exclusion errors, crucial delays in cash transfers, and poses high administrative costs on the authorities for compliance. Therefore, the government may consider using alternative targeting mechanisms, as compared to the currently predominant use of PMT, in emergency contexts.

3. The government aims to move towards a dynamic poverty registry for better targeting. However, making the registry dynamic requires self-enrolment by people which is challenging in low mobile & internet penetration settings. This constraint not only makes self-targeting difficult but poses crucial challenges for nuanced categorical targeting as well.

4. Most of the situations call for a combination of targeting mechanisms to best achieve objectives so as to minimise the shortcomings of each targeting mechanism and leverage the benefits of one targeting mechanism where the others fall short

Vc. Illustrative Example of the Decision-making Toolkit for 2005 Kashmir Earthquake

Figure 8 highlights the characteristics of the 2005 earthquake. The GoP used proxy-means and community based targeting methods for emergency cash transfer. However, when we parse the nature of the emergency through the recommended decision-making toolkit (as shown in Figure 7b) we find geographical, community, or categorical targeting to be more suitable. In fact, an evaluation study by Zaidi et al. (2010), found out that PMT resulted in delays in reaching the beneficiaries.

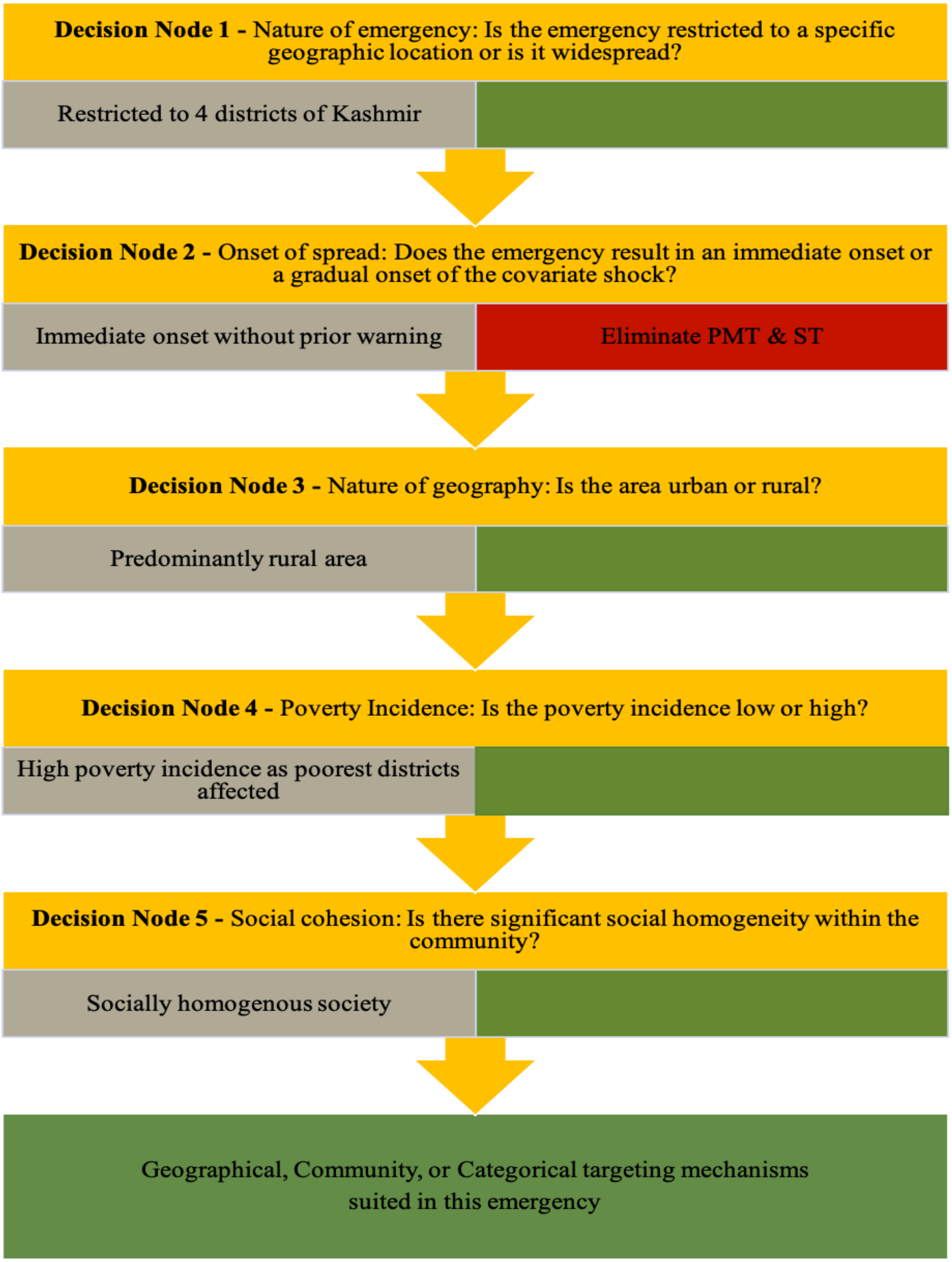

Figure 8: Decision-making process for the 2005 Kashmir earthquake

Section VI - System-wide Recommendations

While the foundational principles and decision-making toolkit can inform choice of targeting mechanism in emergency contexts, the interventions would remain ad-hoc if not accompanied by system-wide reforms. These reforms not only pertain to the structural design of a shock-responsive social protection system, but also ways through which the implementation of targeting mechanisms can be improved.

VIa. Transition from Static to Dynamic Poverty Registry

Regardless of the choice of targeting mechanism, the project recommends that the heart of Pakistan's shock-responsive social protection response should be its poverty registry. Currently, the National Socio-economic Registry is a static database, which requires updates through a nation-wide poverty census every five years (Nishtar, 2020). Moreover, the resources required for the exercise, including partnering with local organisations and preventing leakages, makes it a challenge to adhere to the required periodicity (Business Recorder, 2017). The report recommends that rather than relying on a static registry, GoP should transition to a dynamic poverty registry. As observed by IRN-012, "a dynamic registry [entails a system] wherein the citizens can automatically move in and out of beneficiary lists for social protection programs based on changes of their poverty status, without the government's active involvement". Therefore, the dynamic registry is a self-updating database that is sensitive to changes in poverty status of relevant households. In order to achieve this goal, the GoP would need to focus on both dynamic inclusion and exclusion of potential beneficiaries.

Dynamic Inclusion

Dynamic inclusion posits that any individual eligible for social assistance based on their poverty status should automatically be enrolled in the registry. This automatic inclusion reflects the dynamic nature of poverty as impacted by covariate shocks (Günther & Harttgen, 2006; Haq, 2015a; Haq, 2015b). The following two measures can be undertaken for dynamic inclusion in Pakistan's National Socio-economic Registry.

i. Provide avenues for deserving beneficiaries to self-enrol in social protection schemes based on their poverty status. As identified by IRN-014, dynamic inclusion "needs to have a robust interface where people can interact with the [social protection] program or with the government … which are [currently] either non-existent [and] too weak". One way to strengthen these interactive interfaces could be to set up *One-window Ehsaas* centres in each of Pakistan's districts, as was the policy under former Prime Minister Imran Khan's government, where deserving beneficiaries can come to self-enrol (PASS, n.d.a.) However, given the extensive geographic spread and the amount of resources required to set-up such centres, the efforts can also be complimented by establishing registration desks at local government offices in Pakistan, particularly in rural areas where citizens may have mobility barriers in accessing the one-window centres. The government can run communication campaigns at regular periodicity, for example twice a year, to sensitise potential beneficiaries of the opportunity to self-enrol.

ii. Instead of conducting door-to-door nation-wide poverty census, which require massive resource mobilisation, the government can conduct active enrolment drives with the help of local NGOs at shorter intervals, for example twice a year, only in districts with a higher proportion of vulnerable citizens, i.e. those lying just above the poverty cut-off (PIDE, 2021). This helps in periodic assessment of the conditions of the vulnerable people and in registering them if needed without placing much financial burden on the government. Here, Pakistan can particularly learn from the example of Indonesia, which has transitioned to a dynamic social registry through its *Social Welfare Information System - Next Generation* (SIKS - NG). In order to optimise efforts, home visits conducted twice a year at village level are used to update the country's poverty registry (Barca & Hebbar, 2020).

Dynamic Exclusion

Dynamic exclusion entails that any previously eligible individual who has now moved above the poverty cut-off should automatically be removed from the registry. For dynamic exclusion from Pakistan's National Socio-economic Registry, the following reforms can be undertaken.

i. Efforts should be made by NADRA to increase the coverage of Pakistan's Computerised National Identity Card (CNIC) database by creating infrastructure to help beneficiaries self-register through awareness drives, camps, and mobile CNIC registration vans. In situations where people may not have the capability or information to self-register, door-to-door data collection can be used. This expansion of CNIC allows for robust exclusionary criteria to be applied and hence make the database dynamic.

ii. The CNIC database should be made more robust by including other databases which can serve as wealth proxies for designing automatic exclusionary criteria. Integration of databases related to occupation, property ownership, foreign travel, usage of cellular phone network, and level of education as undertaken through the *Ehsaas Emergency Cash* programme (Nishtar, 2020) can allow for designing more robust exclusionary parameters. For instance, if a citizen is registered as a recipient in the poverty registry, he/she should be automatically excluded on the purchase of a property. Moreover, databases related to marginalised communities, such as citizens with disabilities, widows, elderly, and orphans can be integrated to inform categorical targeting if needed. Integration of dynamic and wide-ranging databases can help phase out the current poverty scorecard system. While, integrating databases can reduce inefficiencies, it also opens up risks of disenfranchisement of marginalised populations. Hence, a privacy preserving model with clear rules on purpose limitation, data collection, storage, & retention are required to ensure responsible integration.

VIb. Integrating Monitoring & Evaluation for Emergency Cash Transfers

Based on the responses by experts interviewed, as well as existing literature examining targeting mechanisms (Coady et al., 2004), the implementation of a cash transfer programme is as important as the choice of targeting mechanism for beneficiary identification. Here, IR-022 noted that "developing [an] relevant monitoring and evaluation regime to ensure effective implementation of cash transfers is as relevant as the choice of the targeting mechanism". Therefore, it is imperative to establish and strengthen monitoring systems even before a disaster occurs.

Due to time sensitivities, the monitoring system should be made a part of the standard operating procedure for disaster management in Pakistan involving relevant implementation stakeholders such as agency leaders, decision makers and program staff. The monitoring system for emergencies should be designed with quick, simple, and easy to collect metrics. The GoP should operationalize the established monitoring system at the initiation phase which runs through various stages of design and implementation of the cash transfer programs. Such monitoring systems with agile and quick feedback loops will help quickly identify the achievement of intended outcomes and areas of improvement. Given the time constraints during an emergency, setting up a grievance redressal system would be an efficient alternative in establishing quick feedback loops for necessary course correction to be done. Within a particular time-period of the emergency cash transfer, the programme should be monitored independently, and ideally through third-parties, by surveying at least 5% of the registered beneficiaries in a particular locality. This may also serve as a deterrent for programme officials and potential beneficiaries against misreporting. The monitoring systems should be designed in a way that beneficiaries have access to it and be able to directly communicate with the program staff. Additionally, telephone surveys can be administered as an easy and cost-effective way to assess beneficiaries' knowledge of the potential benefits of the cash transfers.

Lastly, the nature and time sensitivity of emergency cash transfers, make extensive impact evaluation in the aftermath of an emergency less relevant. In such cases, formative evaluations, which focus on consolidating the constraints, challenges, and policy learnings from previous interventions to inform future use of relevant approaches, should be undertaken. The evaluation process for the cash transfer programme should be guided by how relevant the intervention was in the given context.

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Annexures

Annex II - Interview Questionnaire

Introductory Questions

1. How would you describe the main policy objectives for the Government of Pakistan related to emergency cash transfers and shock-responsive social protection? Is it different from the objectives of regular social protection programs?

Subject Specific Questions - Emergency Cash Transfers for Disaster Relief

2. What, according to you, are some of the key structural and design barriers that impede development of an emergency responsive cash transfer scheme?
3. Does the government have the technical capacity and availability of data sources to quickly identify citizens in need of social assistance in the aftermath of an emergency? (*Prompt: Mention particular types of emergencies, particularly earthquakes, floods, pandemics, extreme spells of heat or cold).*

Subject Specific Questions - Targeting Mechanisms for Emergency Cash Transfers

4. Could you please describe the main targeting mechanisms that are used by the government to identify the beneficiaries of different emergency cash transfer schemes? *(Prompt: PMT, geographical, community-based)*
5. What is the rationale for adopting the PMT targeting mechanism for the Benazir Income Support Program, recently rebranded as Ehsaas Kafaalat Program?
6. How successful has the PMT targeting approach been in identifying beneficiaries for emergency cash transfers?
7. Could you please describe how the PMT is used to operationalize and identify beneficiaries through the door-to-door survey for the nation-wide poverty scorecard?
8. What are the major administrative challenges in identifying beneficiaries?
9. We will now show you a list of considerations that can inform the design and choice of a particular targeting mechanism. Could you please rank each of these in order of decreasing importance in relation to identifying beneficiaries of an emergency cash transfer scheme?

Table 1 – *Parameters for Targeting Mechanisms for Emergency Cash Transfers*

No	Parameter	Description	Ranking
1	**Inclusion errors**	Targeting mechanism may allow ineligible beneficiaries to receive assistance	
2	**Exclusion errors**	Targeting mechanism may not include all beneficiaries who are eligible to receive assistance	
3	**Indirect costs**	Eligibility criteria under the targeting mechanism may lead to an adverse behaviour change in the beneficiaries	
4	**Administrative barriers**	Unavailability of relevant government databases to identify potential beneficiaries	
5	**Private and social costs**	Private costs include time, fees, and lost income. Social costs can include divisions within communities between beneficiaries and non-beneficiaries	
6	**Political Considerations**	Universal assistance programs as opposed to narrowly targeted ones may generate more political support	
7	**Cost Effectiveness**	Reduce poverty at lowest possible cost	
8	**Time Effectiveness**	Reaching beneficiaries as soon as possible	

10. Which targeting mechanism would you prefer the most for emergency cash transfers in case of the following emergencies?

Table 2: Targeting Mechanisms for Specific Emergencies

Emergency	Floods/ Tsunami	Droughts	Earthquakes	Man-made Conflict	Economic Shock	Pandemics
Preferred Targeting Mechanism						
Example Where a Particular Targeting Mechanism Worked Well in Pakistan						

Annex III: List of Search Terms for Literature Review

Source Database	Search Term(s)	Purpose
Scopus, NUS Libraries, and Google Scholar	“Targeting Mechanisms for emergency cash transfer”, “Cash transfers for social protection”, “effectiveness of targeting mechanisms for cash transfers”, “shock adaptive cash transfers in emergencies”, “Targeting mechanisms for cash transfers in Pakistan” “Humanitarian cash assistance in emergencies”	To find peer-reviewed publications on choice of targeting mechanisms for cash transfers within emergency or shock contexts
World Bank, UNICEF, and Asian Development Bank publications database	“Targeting Mechanisms for emergency cash transfer”, “Cash transfers for social protection”, “effectiveness of targeting mechanisms for cash transfers”, “shock adaptive cash transfers in emergencies” “emergency cash transfers in Pakistan”	To find M&E and coverage reports on targeting performance of various mechanisms for emergency cash transfers across the world. To find case studies related to emergency cash transfer interventions and outline advantages/disadvantages of targeting mechanisms in relevance to Pakistan.
Google	“Targeting Mechanisms for emergency cash transfer”, “Cash transfers for social protection”, “effectiveness of targeting mechanisms for cash transfers”, “shock adaptive cash transfers in	To find news and online reports specific to targeting mechanisms for emergency cash transfers in Pakistan

	emergencies" "emergency cash transfers in Pakistan"	

Annex IV: Disaster Prone Districts in Pakistan with Poverty Levels

Province	**Districts Most frequently affected by disasters 2009-13**	**Population below Poverty Line**
Balochistan	Washuk	85.70%
	Naseerabad	81.10%
	Jhal Magsi	74.60%
	Jaffarabad	71.90%
KP	Kohistan	96.20%
	Upper Dir	76.50%
	Lower Dir	51.60%
	Swat	41.70%
	Kohat	35.99%
	Mardan	31.80%
	Chitral	25.90%
	Peshawar	18.50%

Punjab	Rajanpur	63.40%
	DG Khan	55.80%
	Muzaffargarh	48.20%
	Vehari	44.90%
	Rahimyar	44.00%
	Mianwali	29.90%
	Layyah	28.90%
	Sahiwal	27.80%
	Khushab	21.10%
	Toba Tek Singh	15.90%
Sindh	Tharparkar	78.60%
	Thatta	73.00%
	Umerkot	73.00%
	Kashmore	63.80%
	Tando Mohammad Khan	60.70%
	Jacobabad	58.20%
	Shaheed Benazirabad	52.90%

	Qambar Shahdakot	52.20%
	Shikarpur	51.20%
	Khairpur	49.40%
	Shotki	48.00%
	Dadu	47.00%
	Naushahro Feroze	46.80%
	Jamshoro	45.90%
	Matiari	40.20%
	Sukkur	34.80%
	Larkana	32.70%

Source: Naveed, Wood, & Ghaus, 2016; PDMA, KP

Annex V: Overview of Targeting Mechanisms for Emergency Cash Transfers in Pakistan

No.	Cash transfer program (including duration)	Targeting mechanism	Leading Government/Internati-onal Development Agency	Intent of the Program	Sources
1.	Ehsaas Emergency Cash Transfer Program	Proxy Means Testing + Triangulation through other government databases. Additionally innovation of registration through SMS (Self-targeted)	Poverty Alleviation and Social Safety Division, Government, Federal Government of Pakistan	One-time emergency cash transfer program implement to alleviate the economic pressure due to COVID-19 lockdowns	*Ehsaas*. (n.d.). Retrieved November 29, 2021, from https://www.pass.gov.pk/
2.	Benazir Income Support Program	Nation-wide survey (i.e. the National Socio-Economic Poverty Registry of Pakistan) (Proxy-means)	Benazir Income Support Programme division up till 2018. Then moved under the Poverty Alleviation and Social Safety Division and renamed as Ehsaas Kafalat Programme.	Focuses on unconditional cash transfers	*Benazir Income Support Programme*. (n.d.). Retrieved November 29, 2021, from https://www.bisp.gov.pk/

3.	Zakat and Ushr	‘*Istehqaq*’ - Those considered worthy established through Local Zakat Committees - additional filters applied (including Muslim, living below poverty line, etc.) (Community based targeting)	Zakat and Ushr ministries in provincial governments	‘*Guzara*’ allowance - monthly cash transfer of Rs. 1000 per person	Seyfert, K., & Ahmad, M. (n.d.). Options for making Pakistan’s flagship national cash transfer programme shock-responsive. 82.
4.	Malakand Division Internally Displaced Persons (IDPs), 2009	Geographical targeting, including rapid on-ground survey in addition to BISP beneficiaries (Geographical + proxy-means)	Social Welfare Department, Government of Khyber Pakhtunkhwa	Two installments of PKR 6000 each for affected families due to terrorism and military operations in the Malakand division in KP province of Pakistan,	Seyfert, K., & Ahmad, M. (n.d.). Options for making Pakistan’s flagship national cash transfer programme shock-responsive. 82.

5.	Citizens Damage Compensation Program 2010	Geographical targeting was used in Punjab, Sindh, and Balochistan. In AJK, Gilgit-Baltistan and KPK eligible households were identified based on a rapid housing survey. The NADRA database was used to verify IDs. Cash was distributed through Watan Cards. (Geographical targeting)	Emergency Relief Cell in the Federal Cabinet Secretariat	PKR 40,000 per household in two instalments. Unconditional cash transfers for those affected by 2010 floods in Pakistan.	Seyfert, K., & Ahmad, M. (n.d.). Options for making Pakistan's flagship national cash transfer programme shock-responsive. 82.
6.	Temporarily displaced persons' early recovery programme (TDP-ERP)	Geographical targeting for those residents of the areas that were displaced. NADRA records verified those who were displaced.		Total of PKR 16,000 in four equal instalments. Unconditional cash transfers to help compensate those affected by terrorism and military operations in the FATA region of Pakistan	Seyfert, K., & Ahmad, M. (n.d.). Options for making Pakistan's flagship national cash transfer programme shock-responsive. 82.

Annex VI - Scoring on the Objectives for Targeting Mechanisms by Interviewees

Ranking	Parameter	Description	Cumulative Score
1.	**Time Effectiveness**	Reaching beneficiaries as soon as possible	23
2.	**Exclusion Error**	Targeting mechanism may not include all beneficiaries who are eligible to receive assistance	39
3.	**Administrative Barriers**	Unavailability of relevant government databases to identify potential beneficiaries	51
4.	**Private and Social Costs**	Private costs include time, fees, and lost income. Social costs can include divisions within communities between beneficiaries and non-beneficiaries	57
5.	**Political Feasibility**	Whether targeting mechanism aligns with political objectives and compulsions	66
6.	**Cost Effectiveness**	Reduce poverty at lowest possible cost	81
7.	**Inclusion Errors**	Targeting mechanism may allow ineligible beneficiaries to receive assistance	102

8.	**Indirect Costs**	Eligibility criteria under the targeting mechanism may lead to an adverse behaviour change in the beneficiaries	108

Annex VII: Decision Tree Detailed Questions

The sequential questioning in the decision-tree is informed by the following questions.

Section 1: Nature of the Emergency/ Covariate Shock

1. Is the emergency restricted to a specific geographic location or is it widespread?
2. Is there an early warning system available for the emergency?
3. Does the emergency result in an immediate onset or gradual onset of the covariate shock?

Section 2: Political Considerations

1. Does the government have the political capital to implement an emergency cash transfer program?
2. Does the government have the fiscal capacity to implement an emergency cash transfer program?
3. Is the government's priority to respond within a short time frame?

Section 3: Understanding requirements of people

1. Are the people able to meet their food and other basic needs?
2. Are the people able to work in their pre-disaster livelihood?
3. Are the people living in their pre-disaster homes or is there destruction of property and displacement of people?

Section 4: Deciding whether to use Cash Transfers

1. What are the beneficiaries likely to spend the transferred cash on?
2. Do beneficiaries have access to a significant number of cash points in the aftermath of the emergency?
3. Are the local markets functioning and are they competitive?
4. Are these markets accessible to the target population?
5. Is there significant inflation in the market? Is inflation likely due to infusion of cash through transfers? Are there seasonal variations in prices that may detrimentally affect the people?
6. Are there specific behaviours that the government wishes to promote among the beneficiaries?

7. Are there specific members of the society/HHs that the government wishes to affect?
8. Does transferring cash to beneficiaries significantly distort local/regional labour markets?
9. Are there existing cash transfer schemes?
10. Are there mechanisms to safely disburse and transfer cash to beneficiaries?

Section 5: In Case of Particular Geography

1. Is the affected locality an urban area or a rural area? (Think about how strategies can change accordingly?)
2. Is the poverty incidence low/medium/high?
3. Is there significant homogeneity in the poverty profile?
4. Are there significant differences in the demographic profile (including ethnicity, religious beliefs, gender etc) of the geographical area?
5. Has there been a differential impact on various groups (eg: children, women, religious/ethnic minorities, other marginalised groups)?
6. Are there socio-economic or political tensions or conflicts between communities?
7. How do the different social groups interact (representation, resource sharing, support structures)?
8. What are prevalent gender norms in the society (in terms of women’s agency, roles within & outside HHs, control over resources and spending)?

Section 6: Administrative Capacity

1. Is the local bureaucracy still able to carry out its routine functions or not?
2. Is there a high percentage of locality’s residents included in the government’s poverty registry?
3. Does the government have the capacity to mobilise civil-society organisations within the locality?
4. Are there militant/anti-social groups that yield considerable power and can hinder government operations?
5. Generally speaking, the bureaucracy, with aid from civil society organisations & NGOs, can deliver programs without significant leakages?

Section 7: Private Costs

1. What is the proportion of people having computerised Identity-Card in the locality?
2. What is the mobile phone and internet penetration in the locality?
3. Does the intervention incur high opportunity cost on the beneficiaries (time, fees, lost income, and safety issues)?